

PART-A

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INSTRUCTIONS

1. Check that you have **10 printed pages**. The PART-A of the examination has **3 questions**, for a total of **20 points**.
2. Attempt **all questions**.
3. There is **no credit** for a solution if the appropriate work is not shown, even if the answer is correct.
4. Write your answers in this booklet and only in the **space marked for answers**. Any answer written in any space other than the designated space will **not be evaluated**.
5. The pages numbered **8 to 10** are kept as **additional pages**. If you cannot able to fit a complete answer in the space provided just after the question, you can use these three pages by referring the page number of additional page in the original space.
6. At the beginning of the examination, a supplementary sheet has been provided only for rough work. Should you need more, please ask the invigilator.
7. No question requires any clarification from the instructors or invigilators, even if a question has an error or incomplete data. The students are advised to write answer according to their understanding or write reasons for why it is not possible to solve partially or completely that question by citing errors/insufficient data.

FOR OFFICE USE ONLY

Question:	1	2	3	Total
Points:	5	6	9	20
Score:	3+1	1	9	13+1

= 14

QUESTIONS

1. (5 points) Let Y and ϵ are the response variable and the error in a regression problem, respectively. θ_1 and θ_2 are the two parameters. Let $y_i, i = 1, 2, 3$, be the observed values of the response variable. Consider,

$$Y_1 = \theta_1 + \theta_2 + \epsilon_1,$$

$$Y_2 = \theta_1 - 2\theta_2 + \epsilon_2,$$

$$Y_3 = 2\theta_1 - \theta_2 + \epsilon_3,$$

where $E(\epsilon_i) = 0$, and $V(\epsilon_i) = \sigma^2, i = 1, 2, 3; \sigma > 0$. Find the least square estimates (LSE) of θ_1 and θ_2 .

LSE is least square estimate.

$$Q(\theta_1, \theta_2) = \sum (y_i - x_{i1}\theta_1 - x_{i2}\theta_2)^2$$

We have to minimize it.
Diffⁿ & equate to zero.

$$\frac{d}{d\theta_1} Q(\theta_1, \theta_2) = \sum_{i=1}^n x_{i1} (y_i - x_{i1}\theta_1 - x_{i2}\theta_2) = 0$$

$$\frac{d}{d\theta_2} Q(\theta_1, \theta_2) = -2 \sum_{i=1}^n x_{i2} (y_i - x_{i1}\theta_1 - x_{i2}\theta_2) = 0$$

Now,

$$\sum_{i=1}^n (y_i x_{i1}) - \sum_{i=1}^n (x_{i1}^2 \theta_1) - \sum_{i=1}^n (x_{i1} x_{i2}) \theta_2 = 0$$

$$\sum_{i=1}^n (y_i x_{i2}) - \sum_{i=1}^n x_{i2}^2 \theta_2 - \sum_{i=1}^n (x_{i1} x_{i2}) \theta_1 = 0$$

put values of x_{i1}

$$x_{11} = 1$$

$$x_{21} = 1$$

$$x_{31} = 2$$

$$x_{12} = 1$$

$$x_{22} = -2$$

$$x_{32} = -1$$

~~Ex~~

$$y_1 + y_2 + 2y_3 - 6\theta_1 + 3\theta_2 = 0 \quad - (1)$$

$$y_1 - 2y_2 - y_3 + 3\theta_1 - 6\theta_2 = 0 \quad - (2)$$

$$\Rightarrow \theta_1 = \frac{y_1 + y_2 + 2y_3 + 3\theta_2}{6}$$

~~Ex~~

$$\theta_2 = \frac{y_1 - 2y_2 - y_3 + 3\theta_1}{6}$$

$$(1) + 2 \times (2) = 0$$

$$\Rightarrow y_1 + y_2 + 2y_3 - 6\theta_1 + 3\theta_2 = 0$$

$$2y_1 - 4y_2 - 2y_3 + 6\theta_1 - 12\theta_2 = 0$$

$$\left(\frac{3y_1 - 3y_2}{9} = \theta_2 \right) \quad \Rightarrow \quad \left(\theta_2 = \frac{y_1 - y_2}{3} \right)$$

$$\theta_1 = \frac{y_1 + y_2 + 2y_3 + y_1 - y_2}{6}$$

$$\boxed{\theta_1 = \frac{y_1 + y_3}{3}}$$

$$As \quad E(\epsilon_i) = 0 \Rightarrow y_1 + y_2 + y_3 - \theta_1 - \theta_2 + -\theta_1 + 2\theta_2 - 2\theta_1 + \theta_2 = 0$$

$$\Rightarrow y_1 + y_2 + y_3 - 4\theta_1 + 2\theta_2 = 0$$

$$\Rightarrow y_1 + y_2 + y_3 - \frac{4}{3}(y_1 + y_3) + 2\left(\frac{y_1 - y_2}{3}\right) = 0$$

$$\Rightarrow 3y_1 + \frac{y_2}{3} - \frac{y_3}{3} = 0 \quad \Rightarrow \quad \boxed{9y_1 = y_2 + y_3}$$

$$\sum E(\epsilon_i^2) = 0.2$$

from this also see this

??

~~Ex~~

~~Ex~~

04

2. Let U_1 and U_2 be two independent uniform random variables on the interval $(0, 1)$. Suppose that $\mathbf{X} = (X_1, X_2, X_3)'$, where $X_1 = U_1$, $X_2 = U_2$, and $X_3 = U_1 + U_2$.

(a) (3 points) Compute the correlation matrix ρ of $\mathbf{X}$.

(b) (3 points) Find the variance of first principal component based on the correlation matrix that you find in part (a).

(a)

$$\begin{pmatrix} X_1 \\ X_2 \\ X_3 \end{pmatrix} = \begin{pmatrix} 1 & 0 \\ 0 & 1 \\ 1 & 1 \end{pmatrix} \begin{pmatrix} U_1 \\ U_2 \end{pmatrix}$$

3×1 2×1

Now

$$\begin{pmatrix} 1-\lambda & 0 \\ 0 & 1-\lambda \end{pmatrix} = \begin{pmatrix} 1 & \frac{1}{\sqrt{2}} \\ \frac{1}{\sqrt{2}} & 1 \end{pmatrix}$$

$$\rho = \begin{pmatrix} 1 & 0 & \frac{1}{\sqrt{2}} \\ 0 & 1 & \frac{1}{\sqrt{2}} \\ \frac{1}{\sqrt{2}} & \frac{1}{\sqrt{2}} & 1 \end{pmatrix}$$

How??

No marks if appropriate works are not shown.

①

$$\begin{vmatrix} 1-\lambda & 0 & \frac{1}{\sqrt{2}} \\ 0 & 1-\lambda & \frac{1}{\sqrt{2}} \\ \frac{1}{\sqrt{2}} & \frac{1}{\sqrt{2}} & 1-\lambda \end{vmatrix} = 0$$

$$\begin{aligned} & (1-\lambda) \left((1-\lambda)(1-\lambda) - \frac{1}{2} \right) \\ & + \frac{1}{\sqrt{2}} \left(-\frac{1}{\sqrt{2}}(1-\lambda) \right) = 0 \end{aligned}$$

$$\begin{aligned} & (1-\lambda)^3 - \frac{1}{2}(1-\lambda) \\ & - \frac{1}{2}(1-\lambda) = 0 \end{aligned}$$

$$(1-\lambda)^3 - (1-\lambda) = 0 \Rightarrow (\cancel{\lambda}) (\cancel{\lambda-1}) (1-\lambda) ((1-\lambda)^2 - 1) = 0$$

$$\Rightarrow (\lambda=1) \quad \text{and} \quad (\lambda^2 - 2\lambda + 1 - 1) = 0$$

$$(\lambda=2, \lambda=0)$$

$$\boxed{\lambda = 0, 1, 2}$$

($\lambda=1$)

$$\begin{bmatrix} 1-\lambda & 0 & \frac{1}{\sqrt{2}} \\ 0 & 1-\lambda & \frac{1}{\sqrt{2}} \\ \frac{1}{\sqrt{2}} & \frac{1}{\sqrt{2}} & 1-\lambda \end{bmatrix}$$

$$\begin{bmatrix} 0 & 0 & \frac{1}{\sqrt{2}} \\ 0 & 0 & \frac{1}{\sqrt{2}} \\ \frac{1}{\sqrt{2}} & \frac{1}{\sqrt{2}} & 0 \end{bmatrix} \begin{bmatrix} e_1 \\ e_2 \\ e_3 \end{bmatrix} \Rightarrow \begin{bmatrix} \frac{1}{\sqrt{2}} e_1 \\ \frac{1}{\sqrt{2}} e_2 \\ \frac{1}{\sqrt{2}} e_1 + \frac{1}{\sqrt{2}} e_2 \end{bmatrix} = 0 \Rightarrow \begin{cases} e_1 = -e_2 \\ e_1 = 0, e_2 = 0 \end{cases}$$

($\lambda=2$)

$$\begin{bmatrix} -1 & 0 & \frac{1}{\sqrt{2}} \\ 0 & -1 & \frac{1}{\sqrt{2}} \\ \frac{1}{\sqrt{2}} & \frac{1}{\sqrt{2}} & -1 \end{bmatrix} \begin{bmatrix} e_1 \\ e_2 \\ e_3 \end{bmatrix} = \begin{bmatrix} -e_1 + \frac{e_3}{\sqrt{2}} \\ -e_2 + \frac{e_3}{\sqrt{2}} \\ \frac{e_1}{\sqrt{2}} + \frac{e_2}{\sqrt{2}} - e_3 \end{bmatrix} = 0$$

$$e_2 + \frac{e_3}{\sqrt{2}} = 0$$

$$e_2 = -\frac{e_3}{\sqrt{2}}$$

$$\frac{e_3 + e_3}{2} = 0 \Rightarrow e_3 = 0$$

$$e_3 = \frac{e_1 + e_2}{\sqrt{2}} \quad (1)$$

$$e_1 = \begin{bmatrix} \frac{1}{\sqrt{2}} \\ \frac{1}{\sqrt{2}} \\ 1 \end{bmatrix}$$

first principal component

$$y' = \begin{bmatrix} \frac{1}{\sqrt{2}} \\ \frac{1}{\sqrt{2}} \\ 1 \end{bmatrix} \begin{bmatrix} x \\ x \\ x \end{bmatrix}$$

$$= \frac{1}{\sqrt{2}} x_1 + \frac{1}{\sqrt{2}} x_2 + x_3$$

02

Not mentioned the variance of first PCA.

3. Let the matrix of distance be

	1	2	3	4
1	0			
2	1	0		
3	11	2	0	
4	5	3	3.5	0

(a) (6 points) Cluster the four items using each of the following procedures:

- Complete linkage hierarchical procedure.
- Average linkage hierarchical procedure.

(b) (3 points) Draw the dendrograms and compare the results obtained using previous two procedures.

(a)

(i) step 1
cluster with min (d)
As (1,2) are having min

	(1,2)	3	4
(1,2)	0	11	5
3	11	0	3.5
4	5	3.5	0

find distance by taking maximum with each element of clusters.

$$d_{(1,2),3} = \max(d(1,3), d(2,3)) = 11$$

$$d_{(1,2),4} = \max(d(1,4), d(2,4)) = 5$$

merge by dmin.

	(1,2)	(3,4)
(1,2)	0	11
(3,4)	11	0

Again update table by

$$d_{(1,2),(3,4)} = \max(d(1,3), d(1,4), d(2,3), d(2,4)) = 11$$

$$(1,2,3,4) \begin{bmatrix} 0 \end{bmatrix}$$

(ii) Using the Average linkage

First with min d.

	(1,2)	3	4
(1,2)	0		
3	11	0	
4	5	3.5	0

~~Now~~

using $\left(\frac{\sum d}{n_1 \times n_2} \right)$ between all the points.

	(1,2)	3	4
(1,2)	0		
3	6.5	0	
4	4	3.5	0

Now, update the new d using the average between all the cluster points

$$d_{(1,2),3} = \frac{11+2}{2 \times 1} = \frac{13}{2} = 6.5$$

$$d_{(1,2),4} = \frac{6}{2 \times 1} = 4$$

Now, again take min and merge the cluster.

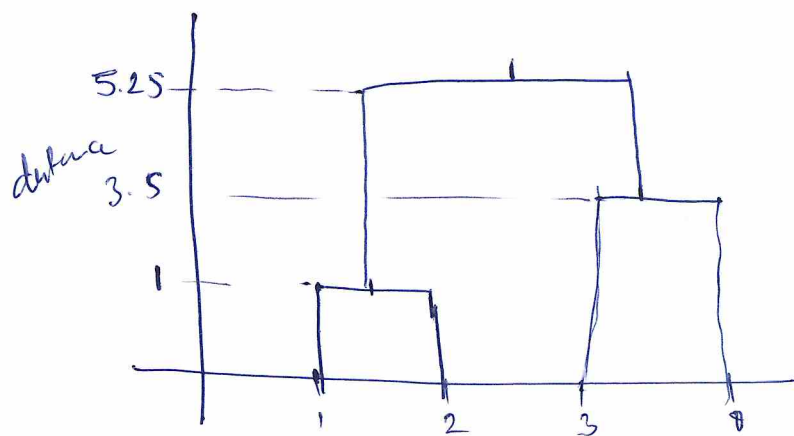
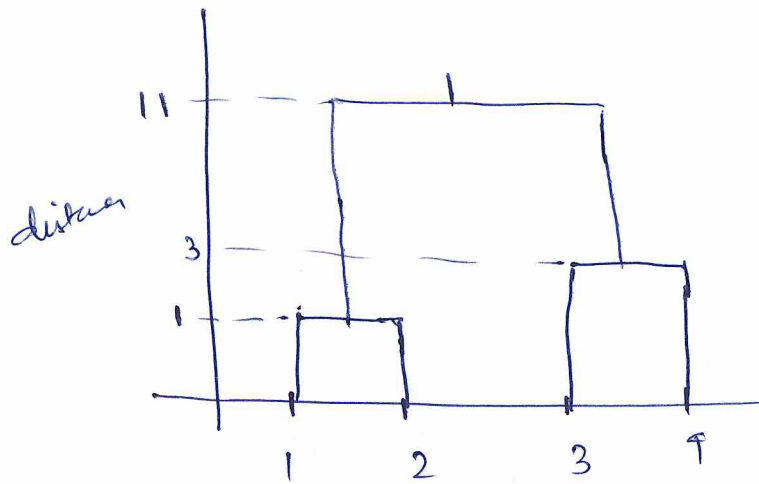
	(1,2)	(3,4)
(1,2)	0	
(3,4)	5.25	0

Ob

	(1,2,3,4)
(1,2,3,4)	5.25

$$d_{(1,2),(3,4)} = \frac{6.5+4+6.5+4}{2 \times 2} = 5.25$$

⑥



• In the complete ~~linkage~~ linkage all get average at distance reach 11, while the (3,4) merge at 3.

• In the Average it get merge at 5.25 while (3,4) merge at 3.5.

03

